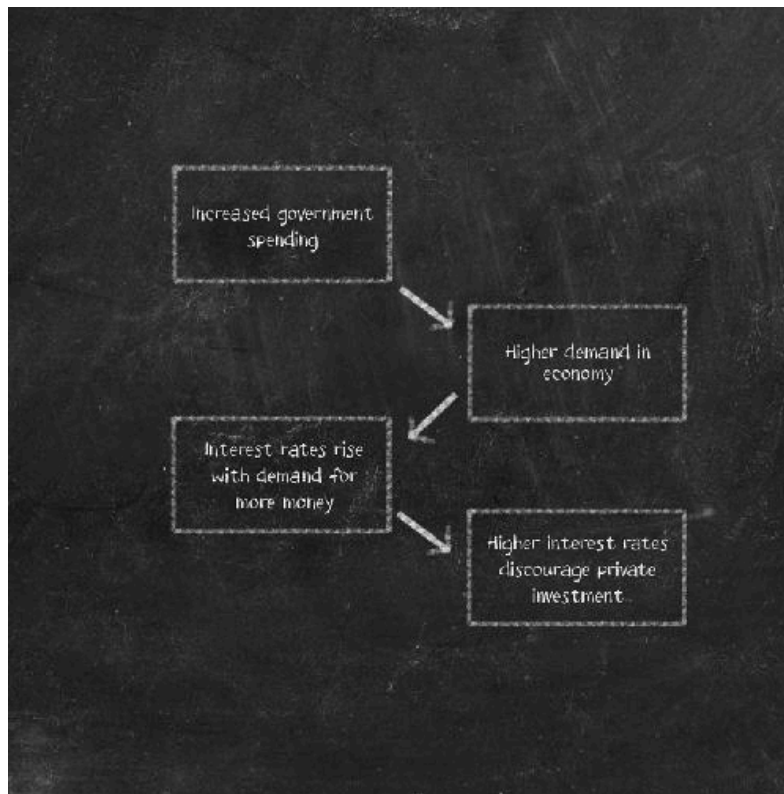


Crowding out



One prescription for curing recession is for government to spend more: the hope is that this leads to a large enough boost in demand to stimulate growth. However, government spending can have knock-on effects that counteract the higher demand. The danger is that public spending can displace private spending if the former is a substitute for the latter. If so, then the increased demand caused by government spending might be partially or fully neutralized by a fall in some areas of private-sector spending. Even spending on defence and roads – public goods that can't easily be carried out privately (see [Public goods and free riding](#)) – can lead to crowding out. The increase in aggregate demand causes interest rates to rise as more money is demanded by individuals and companies. Higher interest rates dampen private sector investment, so the initial boost to economic activity is offset. The issue for economists, then, is

whether crowding out is a large enough effect to completely dissipate the impact of government spending.